

resolving existing ones between asset owners and fund managers. Solving one agency relation can exacerbate another.

I offer several recommendations:

1. By themselves, linear contracts with traditional static (S&P 500-like) benchmarks are useless and in the worst case cause managers to destroy value. (This is the Irrelevance Result.)
2. Smarter benchmarks, particularly factor benchmarks, will ameliorate agency issues when used in linear contracts.
3. Nonlinear, option-like compensation contracts can optimally motivate fund managers.
4. Constraints play an important role in contracts, with fewer constraints for more talented fund managers.
5. Disclosure is paramount: optimal contracts should be as transparent as possible.
6. The 1% fee for individuals (or 50 basis point institutional fee) based on AUM is exorbitant. Minimize payments based on AUM.
7. Incentive fees for financial advisors should only represent a fraction of total compensation. Retail investors should pay flat fees or by the hour.
8. Benchmark your financial advisor by using a simple, fixed combination of index funds.

4. Boards

A large number of principals are often represented by a board, just as in a corporate setting. Boards have long been known to be a good monitoring system to temper the opportunism of agents and a large literature in corporate finance, both theoretical and empirical, emphasizes the importance of independent directors on boards.²² Effective boards advocate for the principals' interests. By monitoring and interpreting information, boards mitigate principal-agent problems.²³

While boards themselves are agents of those they represent, like beneficiaries, family members of a family office, and an entire nation for a sovereign wealth fund, in this section I concentrate on the board as principal and discuss its role in relation to a fund manager as its agent.

I pay special attention to the concerns of NYSCRF in this section. Edward Regan, who served as comptroller from 1979 to 1993, attempted to change the NYSCRF's governance structure to a board and tried to reform himself out of a job as sole trustee. He recalled,

²² See Fama and Jensen (1983) and Hermalin and Weisbach (2003) for summaries.

²³ Monitoring and constraints are substitutes. Almazan et al. (2004) find that investment restrictions on mutual funds are more likely when their boards are less independent.